

Palantir Technologies Inc.

PLTR NYSE

Hold	\$121.14 ▼ 1.51%	12M Price Target \$135.00	52-Week Range \$106.37 – \$207.52	Market Cap \$290.42B
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PLTR: Earnings Aug 3 Sets Up Make-or-Break Moment

WHAT HAPPENED

- Stock is drifting down (-1.5%) on light volume ahead of Aug 3 earnings — classic pre-print de-risking. Notice today's volume (7.6M) is a fraction of Monday's 43M — big money is stepping back, not selling in panic, just refusing to place bets before the number.
- Headlines are getting cautious: Motley Fool literally titled a piece "Both Numbers Get Tested on Aug. 3," and there's a "SaaS trap" warning making rounds. The narrative is shifting from "unstoppable AI winner" to "prove it."

WHY IT MATTERS

Here's the setup nobody's saying out loud: PLTR is down 40% from its high but STILL trades at roughly 60x forward revenue — meaning investors pay \$60 for every \$1 of sales the company will make next year (normal software companies trade at \$8-15). That means Monday's earnings can't just be "good" — U.S. commercial growth has to accelerate for the 12th straight quarter or the multiple compresses hard. The political backdrop is actually a tailwind here: the Trump administration's AI-first defense posture and the ongoing "Golden Dome" missile defense buildout are pouring money into exactly PLTR's lane, and their new Army contract expansions confirm this. But — and this is key — the insider selling from Director Alexander Moore in mid-July at \$133-136 tells you insiders think the near-term risk/reward is unfavorable, even if the long-term story is intact.

POLICY & POLITICAL WATCH

The big one: the FY2027 defense authorization is being marked up in Congress right now, with the Pentagon's AI and software modernization budget slated for a meaningful bump — PLTR's Maven Smart System and TITAN program are direct beneficiaries if it passes intact. Second, the White House's AI Action Plan (released mid-2025) explicitly prioritizes American AI infrastructure for federal use — PLTR is essentially the poster child. Watch also for France's exit from Palantir contracts (per the Simply Wall St. headline) — European sovereignty pushback is a real, growing headwind that could cap international upside even as U.S. tailwinds accelerate.

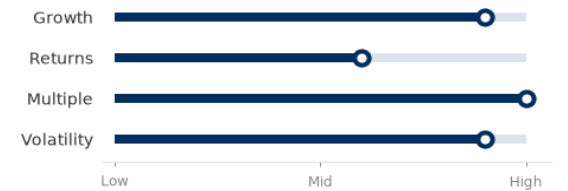
IS IT EXPENSIVE?

Bluntly: this is one of the most expensive large-cap stocks in the market. At ~\$290B market cap on roughly \$4.9B of expected 2026 revenue, you're paying about \$60 for every \$1 of sales — Snowflake trades at ~\$12, Microsoft at ~\$13. The bull argument is that PLTR's government moat is unique and margins are expanding fast (profit nearly quadrupled year-over-year), but even generous scenarios require flawless execution for years to grow into this price.

Key Data

Price (USD)	\$121.14
12M Price Target	\$135.00
Upside / (Downside)	+11.4%
Market Cap	\$290.42B
FY2026E Revenue	\$4,900M
FY2027E Revenue	\$6,600M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.85
Fwd P/E	195.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$145.00	\$125.00	\$100.00
6 Months	\$170.00	\$130.00	\$90.00
1 Year	\$200.00	\$135.00	\$85.00
2 Years	\$250.00	\$160.00	\$75.00
5 Years	\$400.00	\$220.00	\$60.00
10 Years	\$700.00	\$350.00	\$50.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+5.6% today) is ripping as AI capex commentary from mega-caps reignites the trade; Defense/AI names benefiting from bipartisan support for the FY27 NDAA and Golden Dome program funding.

COOLING OFF: Utilities and Financials fading — rate-cut expectations getting pushed out, and defensive sectors losing their bid as risk-on returns.

ROTATION WATCH: Money is flowing back into high-beta AI winners after last week's wobble — but selectively, favoring names with clear revenue traction (NVDA, PLTR, ANET) over story stocks.

RELATED PLAY: If PLTR's federal thesis plays out, the "picks and shovels" — data center REITs (DLR, EQIX) and power infrastructure names (VST, CEG) — benefit because AI workloads need somewhere to run.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI infrastructure king — every PLTR deployment ultimately needs their chips underneath.
- ANET (Arista Networks): Networking backbone for AI data centers — quietly compounding on hyperscaler capex.

PLTR CONTEXT: PLTR is LAGGING the AI cohort into earnings — down while tech sector is up 5.6% over five days. That tells you the market is nervous about this specific print, not the AI theme broadly. If numbers are good, this gap closes fast; if not, the divergence gets ugly.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the long-term story but the valuation and earnings binary makes me cautious this week specifically.

POSITION SIZE: 2-4% of portfolio — small enough that a bad earnings print doesn't ruin your year, big enough to matter if the thesis keeps compounding.

ENTRY POINTS: I'd rather chase this at \$105-115 after any earnings disappointment than pay \$121 the day before the print. If it blows out earnings and gaps to \$145, wait for the inevitable pullback.

TIME HORIZON: 12-24 months — the story is real, but you need to give it room to grow into the valuation.

WHEN TO BAIL: U.S. commercial growth decelerates two quarters in a row, or DoD signals a shift away from PLTR on Maven/TITAN. Also watch insider activity — if Moore's selling turns into a broader insider exit, that's a red flag.

HEDGING: Simplest hedge — buy a put option expiring after Aug 3 earnings; it's basically insurance that pays out if the stock craters on the print. Or just trim your position by a third before earnings and buy it back after the dust settles.